

Select the best choice.

1. Trade-offs are required because wants are unlimited, and resources are _____.
 - A. Economical
 - B. Unlimited
 - C. Efficient
 - ☒ D. Scarce.
2. When a market is in equilibrium.
 - A. Quantity demanded equals quantity supplied
 - B. Excess demand and excess supply are zero
 - C. The market is cleared by the equilibrium
 - ☒ D. All of the above
3. What is engineering economics?
 - A. The study of financial management in engineering projects
 - ☒ B. The application of economic principles to engineering decision-making
 - C. The study of engineering principles without considering economic factors
 - D. The analysis of engineering designs and processes
4. Economics is the study of?
 - A. Production technology
 - B. Consumption decisions
 - ☒ C. How society decides what, how, and for whom to produce
 - D. The best way to run society
5. What is the time value of money?
 - A. The principle that money loses value over time
 - ☒ B. The principle that money has different worth at different points in time
 - C. The principle that money is always worth the same amount
 - D. The principle that money should not be a factor in engineering decisions
6. What is the concept of opportunity cost in engineering economics?
 - ☒ A. The cost of giving up the best alternative when making a decision
 - B. The total cost of a project
 - C. The cost of labor and materials
 - ☒ D. The cost of financing a project

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7. Macroeconomics is the study of _____.
- A. Individual building blocks in the economy
 - B. The relationship between different sectors on the economy
 - C. Household purchase decisions
 - ☒ D. The economy as a whole
8. In the mixed economy _____.
- ☒ A. Economic decisions are solved by the government and the market
 - B. Economic decisions are made by the private sector and the free market
 - C. Economic allocation is achieved by the invisible hand
 - D. Government departments solve economic problems.
9. A market can accurately be described as _____.
- A. A place to buy things
 - B. A place to sell things
 - C. The process by which prices adjust to reconcile the allocation of resources
 - ☒ D. A place where buyers and sellers meet
10. Which of the following statements is true about a market economy?
- A. With a large enough computer, central planners could guide production more efficiently than markets.
 - ☒ B. Market participants act as if guided by an invisible hand to produce outcomes that maximize social welfare.
 - C. The strength of a market system is that it tends to distribute resources evenly across consumers.
 - D. Taxes help prices coordinate the costs and benefits to producers and consumers.
11. What is true?
- A. Economy and efficiency are the same.
 - ☒ B. Economics focuses on efficiency in production.
 - C. Both A & B.
 - D. None of the above
12. Capital differs from money and earns interest. (True / False) ☒ True / False
13. Human Capital is the money needed to pay the wages of Human Resources. (True / False) ☒ True / False
14. The job of the Engineers is to operate and maintain. (True / False) ☒ True / False
15. Interest rate and rate of return are the same and refer to the investor. (True / False) ☒ True / False